

Opinion **Global inflation**

A deglobalising world will be an inflationary one

Climate change and conflict are challenging the Federal Reserve's efforts to combat rising prices

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For the last few decades, globalisation and disinflation have gone hand in hand. As multinational companies grew far beyond the confines of individual nation states, they were able to use technology, outsourcing and economies of scale to drive down prices. Cheap labour, cheap capital and cheap commodities kept them down.

Now war in Ukraine has put an end to cheap Russian gas. The global push towards carbon neutrality will ultimately add a permanent tax on fossil fuel usage. Decoupling between the US and China means an end to “efficient” (aka cheap) but fragile supply chains. The end of quantitative easing and the Federal Reserve’s rate rises are putting a cap on easy money.

Aspects of this new reality are welcome. Counting on autocratic governments for crucial supplies was never a great idea. Expecting countries with wildly different political economies to abide by a single trade regime was naive.

Polluting the planet to produce and transport low-margin goods around the world doesn’t make as much sense when you tally in the true cost of labour and energy, not to mention changing geopolitics. More than three decades of falling real interest rates have resulted in unproductive and dangerous asset bubbles; we desperately need some price discovery in markets.

All this said, there is no getting around the fact that a deglobalising world will also be a more inflationary one, at least in the short term. This will present a major challenge for both the US economy and the wider world.

As Credit Suisse analyst Zoltan Pozsar told clients in a recent note, “war means industry”, be it hot war or economic war, and growing industry means inflation. This is the exact opposite of the paradigm we’ve experienced for the last half century, during which “China got very rich making cheap stuff . . . Russia got very rich selling cheap gas to Europe, and Germany got very rich selling expensive stuff produced with cheap gas.” The US, meanwhile, “got very rich by doing QE. But the licence for QE came from the ‘lowflation’ regime enabled by cheap exports coming from Russia and China.”

All this is now changing. And that means even hawkish central bankers may not be able to control the inflationary environment. That’s a topic that was front and centre at the central bankers’ Jackson Hole conference recently, when economists Francesco Bianchi of Johns Hopkins University and Leonardo Melosi from the Chicago Fed released an important paper questioning how much monetary policy can do to bring down inflation if the fiscal position of the country is deteriorating.

The core idea is that if rate hikes lead to recession, tax receipts go down and in lieu of spending cuts to the big stuff — such as entitlements and defence — or a default on Treasury bills, you get rising debt. When the debt picture deteriorates significantly, it gets harder and harder for monetary policy alone to curb inflation, so you get a snowball effect. The upshot? Unless monetary policy is accompanied by a more stable fiscal situation, rising inflation, economic stagnation and increasing debt will be the result.

Central bankers have been begging politicians of both stripes to supplement their monetary efforts with appropriate fiscal policy for years. Now, the rubber is hitting the road. When interest rates rise, you ideally want less debt. That requires increased taxes or reduced spending. The first option relies on Democrats controlling Congress; it's unclear how long they will, as November midterms loom. The second option is unlikely, given the fiscal investments inherent in a deglobalising, decarbonising world.

Consider, for example, the cost of more secure supply chains. The US has just passed an act giving chipmakers \$52bn in subsidies. Germany is spending \$100bn on modernising its armed forces. The west is likely to spend \$750bn rebuilding Ukraine, and the G7 recently announced plans to pump \$600bn into infrastructure to counter China's own massive Belt and Road Initiative. All that is, in the short term at least, inflationary.

Then there are the challenges of ensuring production. "Inventory for supply chains is what liquidity is for banks," says Pozsar, and "in the context of supply chains, leverage means excessive operating leverage." He notes, for example, that some \$2tn of German value-added production relies on \$20bn worth of gas from Russia. What happens if that stops flowing entirely this winter? We may be about to see.

There are important caveats to this story. Productive spending on things like infrastructure, high value goods and services and the transition to clean energy may be inflationary in the short term but ultimately bolsters a country's fiscal position by fuelling longer-term growth. Indeed, these types of "[productive bubbles](#)" — in which the public sector provides incentives for investment into crucial technologies and new markets — enable periods of widely shared, sustainable growth.

The question is how much of today's spending will be productive, and whether governments will have the ability to cut what is not. Either way, in the near term, the end of the neoliberal globalisation era will be a tailwind to higher trend inflation. Just like deglobalisation itself, that represents a massive economic shift, which will herald all sorts of unexpected consequences.

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